the trade-execution requirement, provided that "block trade" is appropriately defined for those SBSs, can help ensure that large trades are not significantly more difficult and costly to execute because of the risks posed by information leakage and the potential for adverse price movement, which could significantly impair liquidity in the markets for those SBSs. Therefore, the Commission is adopting Rule 815(a) as proposed, but is, as discussed immediately below, modifying the proposal with respect to the definition of "block trade" in Rule 802.

(ii) Block-Trade Definition for Credit SBS

The Commission also proposed to align the regulatory text defining "block trade" in proposed Regulation SE with the CFTC's definition. The proposed definition in Rule 802 of Regulation SE was based on the four-pronged definition found in § 43.2(a), but with one modification. The third prong of the CFTC definition characterizes a block trade in a particular swap as having "a notional or principal amount at or above the appropriate minimum block size applicable to such swap."[203]

For the third prong of the "block trade" definition, the Commission proposed that the SBS be based on a single credit instrument (or issuer of credit instruments) or a narrow-based index of credit instruments (or issuers of credit instruments) having a notional size of $5 million or greater,[204] considered the distribution of transactions in the single-name CDS market[205] and

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[203] Appendix F to the CFTC's part 43 divides swap asset classes into a number of categories and sets forth a minimum block size threshold to each category. SBSs are not within the CFTC's jurisdiction, so the CFTC had not considered what an appropriate minimum block size threshold would be for any SBS asset class. In this respect, there was no CFTC-defined threshold for the Commission to harmonize with, so the Commission proposed to establish a threshold tailored specifically for the SBS market, *see* Proposing Release, *supra* note 1, 87 FR at 28956, as discussed below.

[204] *See* Proposing Release, *supra* note 1, 87 FR at 28896.

[205] *See id.* at 28944.

took into consideration that FINRA applies a $5 million cap when disseminating transaction reports of economically similar cash debt securities.[206]

A number of commenters question the basis for the proposed $5 million block threshold size and advocate a variety of different approaches to establishing the block size threshold for SBS products, as alternatives to the proposed $5 million notional size block trade threshold.[207]

One commenter presents data that it argues supports its assertion that the block threshold for credit SBS should be recalibrated.[208] The commenter recommends that the Commission first establish an appropriate methodology to determine block thresholds based on current market-wide data. This commenter states that, otherwise, the already illiquid SBS market will be required to comply with an arbitrary, "one-size-fits-all" threshold amount that fails to consider the unique levels of market liquidity and risk sensitivity of various instruments. The commenter suggests that average daily volume ("ADV") is an appropriate indicator of liquidity levels because it represents a measure of how much trading occurs in a given issuer across the market as a whole, and that the lower the ADV, the lower the liquidity of the product. Based on its analysis of ADV data for credit default swaps ("CDS"), which it retrieved from the DTCC Trade Information Warehouse, the commenter posits that liquidity in single-name CDS is significantly lower than in broad-based CDS. Thus, the commenter argues, it is not appropriate to mirror the block threshold for credit SBS to the threshold for debt securities, when there are clear differences in liquidity levels within the CDS market itself.

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206 *See id.* at 28944 n.369.

207 *See* Citadel Letter, *supra* note 18, at 9; ICI Letter, *supra* note 18, at 10–12; MFA Letter, *supra* note 18, at 5–8; SIFMA AMG Letter, *supra* note 18, at 10; ISDA-SIFMA Letter, *supra* note 18, at 7–9.

208 *See* ISDA-SIFMA Letter, *supra* note 18, at 7–9.

This commenter also asserts that the data reveal that liquidity in single-name CDS is disproportionately concentrated in the most actively traded issuers, which, the commenter contends, corroborates its assertion that block thresholds should be calibrated at a more granular level in order to reflect the different liquidity levels of credit SBS products. The commenter cautions that, absent a data-based approach to setting block thresholds for credit SBS instruments, the proposal runs the risk that $5 million may be an inappropriately high threshold for those products, which may widen bid/offer spreads, further reduce liquidity, and force large-sized transactions to be publicly reported with their full size, leaving the dealer that "wins" in the position of risking the market moving against the dealer before the dealer is able to adequately lay-off its exposure. This risk to the dealer, the commenter asserts, could increase the costs of transacting with immediacy substantially, leading to overall increased costs and time delays in executing hedges, and adding to or taking down positions, which would have a direct impact on clients and end-users, who will ultimately bear the increased costs and inefficiencies when forced to split large trades into smaller sizes for liquidity purposes. The commenter states that these clients, end-users, and liquidity providers may decide that it is more economical to exit the market entirely, given that most of them do not trade in large volumes of SBS.[209]

The same commenter also states that, because "the appropriate block threshold depends on factors such as liquidity and risk sensitivity[,] which can change over time, … the rules should provide a formal adjustment mechanism that would allow market participants to petition the Commission to temporarily change block thresholds based on observed market conditions, or enable the Commission's staff to do so, subject to a public comment process."[210]

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209 *See id.*

210 *Id.* at 9 n.23.

Several commenters argue for establishing a range of block trade threshold sizes, based on the product.[211] One commenter recommends that the Commission delay implementation of the required execution methods until it considers its approach to block trades more comprehensively.[212] This commenter argues that calibrating appropriate block threshold sizes for SBSs has significant implications for market participants from both a pre- and a post-trade transparency perspective. With respect to pre-trade transparency, the commenter states that requiring a fund to disclose its trading interest in an SBS of a large notional size to multiple participants—via an order book or an RFQ system—would "enable opportunistic market participants to piece together information about the fund's holdings or investment strategy and lead to frontrunning of those potential trades."[213] With respect to post-trade transparency, the commenter states that setting a block trade threshold that is too high would unnecessarily limit the ability to report large-sized SBS transactions on a delay, which would make it difficult for liquidity providers to hedge such positions, leading to higher trading costs and less efficient trading for funds and other market participants. The commenter also states that the magnitude of these risks depends on, among other factors, an SBS's liquidity profile. The commenter also states that having a single threshold—across all applicable SBSs with respect to SBSEF trading and for any additional future rulemaking related to post-trade public reporting—does not adequately account for varying levels of liquidity across different categories or types of SBSs. The commenter recommends that, given the differences in liquidity across different SBSs, the Commission should base its thresholds on more comprehensive transaction data obtained

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211 *See* MFA Letter, *supra* note 18, at 7; ICI Letter, *supra* note 18, at 11; SIFMA AMG Letter, *supra* note 18, at 10.

212 *See* ICI Letter, *supra* note 18, at 11–12.

213 *Id.* at 11.

pursuant to Regulation SBSR. The commenter asserts that taking such a data-driven approach would allow the Commission to assess the liquidity of different SBSs based on, for example, swap term, underlying security, and other characteristics. The commenter also argues that this would enable the Commission, similar to the CFTC, to formulate different types or categories of SBSs and propose differing block trade sizes that are more appropriately tailored to the liquidity characteristics of each type or group.

Another commenter states that the CFTC sets different minimum block sizes for different categories of swaps and argues that the Commission should similarly develop a more structured and tailored approach.[214] The commenter expresses concerns that setting a miscalibrated block size will likely limit the utility of the block trade exception, thereby preventing many market participants from executing transactions on SBSEFs. Another commenter recommends that the Commission adopt the CFTC's approach for block trades based on a "67 percent notional amount calculation."[215] That commenter also recommends that the Commission reserve the ability to update block thresholds on a regular basis to ensure they remain representative of current market conditions.[216] Another commenter states that the proposed block threshold is not a result of any empirical analysis on the market conditions for credit SBSs and suggested that, as the SBS market develops and grows, it may become more appropriate for amendments to the credit SBS threshold.[217]

The Commission has considered the comments received and has determined, for the reasons discussed below, not to adopt a definition of "block trade." While the Commission had

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214 *See* MFA Letter, *supra* note 18, at 7.

215 *See* Citadel Letter, *supra* note 18, at 9.

216 *See id.* at 10.

217 *See* SIFMA AMG Letter, *supra* note 18, at 10.

proposed the single block threshold for credit SBS based on its preliminary view that the block-trade threshold applicable to an SBS trade should be consistent with any reporting cap for that SBS trade, and any reporting cap applicable to the cash markets for the securities,[218] the Commission acknowledges commenters' concerns that the proposed $5 million block-trade threshold for all credit SBSs would not be sufficiently tailored to the unique and varying trading and risk characteristics of the full range of credit SBS, creating the potential for the adverse market risks that commenters point out may arise from having a one-size-fits-all block threshold.

Further, unless and until the Commission has made a clearing determination for a given SBS *and* an SBSEF or a national securities exchange has made that SBS "available to trade," *all* transactions in that SBS will be Permitted Transactions. On the effective date of Regulation SE, and until the Commission has made a clearing determination for an SBS, no SBSEF or national securities exchange will be able to make that SBS "available to trade." Consequently, there could be no mandatory trading requirement and thus there are no transactions to be excepted. Without a mandatory trading requirement, a block-trade threshold, therefore, has no effect on the ability of market participants to choose their preferred means of execution for trades in that SBS. Unless and until the Commission has made a mandatory clearing determination regarding an SBS, it is not necessary to define a block-trade threshold for SBS, and it would be appropriate for the Commission to identify a block-trade threshold in the future after considering credit SBS transaction data and credit SBS markets at that time. In addition, the Commission agrees with commenters that additional consideration of credit SBS transaction data, including data reported under Regulation SBSR, would help the Commission determine the appropriate block threshold

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218 *See* 2019 Cross-Border Application of Certain Security-Based Swap Requirements, SEA Release No. 34-87780 (Dec. 18, 2019), 85 FR 6270, 6347 (Feb. 4, 2020) ("2019 Cross-Border Adopting Release").

for credit SBS products, including whether different thresholds should apply to different types or groups of SBS. The Commission also agrees with commenters that the credit SBS markets are likely to evolve over time and that analysis of market data continues to be an important aspect of setting appropriate thresholds for both block trades and credit SBS public trade reporting.[219]

Therefore, the Commission is not adopting the proposed definition of "block trade" under Proposed Rule 802, or any other block-trade threshold. Instead, the definition of "block trade" in Rule 802 will read "[reserved]."[220] In conjunction with any mandatory clearing determination by the Commission for SBS, or with any Commission proposal to specify the criteria for determining what constitutes a large notional SBS transaction for particular markets and contracts with respect to trade reporting, the Commission will have the opportunity to engage in rulemaking to propose a definition of "block trade" for purposes of Regulation SE—and to solicit public comment on Commission's proposal and its economic analysis of the proposed definition—before it considers adopting a definition.

In response to the comment that the Commission should delay implementation of the trade execution requirement until it has considered block trades more comprehensively, unless and until the Commission has made a clearing determination for a given SBS *and* an SBSEF or a national securities exchange has made that SBS "available to trade," *all* transactions in that SBS

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219 In adopting Regulation SBSR, the Commission directed its staff to make reports in connection with the determination of block thresholds and reporting delays for security-based swap transaction data. *See* 17 CFR 242.901 (Appendix) (discussing the studies for the determination of block thresholds and reporting delays); *see also* Regulation SBSR Adopting Release I, *supra* note 140, 80 FR at 14625. The Commission stated that it intends to use these reports to inform its specification of the criteria for determining what constitutes a large notional SBS transaction (i.e., block trade) for particular markets and contracts; and the appropriate time delay for reporting large notional SBS transactions to the public. *See* 17 CFR 242.901 (Appendix). The reports for each asset class are to be completed no later than two years following the initiation of public dissemination of security-based swap transaction data by the first registered SDR in that asset class—in other words, the reports are anticipated to be complete by Feb. 14, 2024—and then published for comment in the *Federal Register*. *See id.*

220 Because the Commission is not adopting a definition of "block trade" at this time, it is also modifying other rules within Regulation SE that reference block trades. *See supra* note 41.

will be Permitted Transactions. Thus, it is not necessary to formally delay the implementation of the trade execution requirement, because the Commission will have the opportunity if and when it makes a clearing determination for SBS—i.e., before any SBS transaction becomes a Required Transaction—to address whether a block-trade threshold should be set; what methodology should be used to determine that threshold; and what that threshold would be. At that time, because amending Rule 802 to define "block trade" would entail notice-and-comment rulemaking, market participants would have the opportunity to comment on the Commission's proposed action.

For the reasons discussed above, the Commission is not adopting the definition of "block trade" in Rule 802 as proposed but is instead adopting the text for the definition that reads "[reserved]," and is making a minor technical modification.[221]

(iii) Block-Trade Definition for Equity SBS

In the Proposing Release, the Commission did not propose a definition of "block trade" applicable to equity SBS. Accordingly, no equity SBS would qualify for the exception to required means of execution for block trades in Proposed Rule 815(a)(2).[222]

Several commenters submitted comment letters on the proposal to exclude equity swaps from the proposed block-trade exception.[223] One commenter states that, in its view, the use of block trades for equity SBS is at least as necessary as for credit SBS, due to the need to

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221 The Commission has corrected a cross-reference from 242.800(x) to 242.802.

222 As discussed in the Proposing Release, appendix F to part 43 of the CFTC's rules does not define a block trade for equity swaps, and accordingly, no equity swap transaction could qualify for the exception to the required means of execution for block trades under § 37.9(a)(2). *See* Proposing Release, *supra* note 1, 87 FR at 28896.

223 *See* MFA Letter, *supra* note 18, at 6–7; ICI Letter, *supra* note 18, at 12–13; ISDA-SIFMA Letter, *supra* note 18, at 9; SIFMA AMG Letter, *supra* note 18, at 10.

customize the size of transactions and to obtain timely and efficient executions.[224] This commenter asserts that requiring equity SBS trades to be executed only through the order book or RFQ system could result in these trades having "significant price impact" on SBSEF products, which would ultimately inhibit the ability of market participants to efficiently arrange and execute large, customized trades that are essential for market participants' risk management activities.[225] The commenter also asserts that this would disincentivize market participants from using equity SBS for their legitimate business purposes, including hedging, which could increase volatility and reduce liquidity in equity SBS markets (as well as underlying equity markets). The commenter also argues that excluding equity SBS block trades would ultimately inhibit capital formation as an inability to execute blocks in equity SBS would make it riskier, more expensive, and more difficult to hedge, which would in turn inhibit market participants from participating in offerings.

This commenter further states that equity SBS are quite distinct from CFTC equity swaps in ways that make it more critical to allow block trades in equity SBS. Specifically, the commenter states that since CFTC-regulated equity swaps are based on broad-based equity indices, which reflect markets and not individual issuers, they are used to assume or hedge exposure to the relevant market or sector generally. By contrast, the commenter posits that equity SBS may reference a single name and are therefore a preferred tool for hedging exposure to specific equities, which makes them essential to capital formation. The commenter also argues that markets for SBS on individual equities will, in many cases, be less liquid than the markets for broad-based equity index swaps, further necessitating the opportunity for block trades.[226]

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224 *See* MFA Letter, *supra* note 18, at 6–7.

225 *Id.* at 6.

226 *See* MFA Letter, *supra* note 18, at 6–7.

Another commenter also recommends that the Commission conduct further analysis before determining block treatment for equity SBSs.[227] That commenter states that it previously disagreed with CFTC's similar approach with respect to equity swaps. The commenter argues that the Commission should undertake additional analysis to demonstrate that the CFTC's justifications for its approach apply equally to the categories or types of equity-based swaps specifically under its jurisdiction, which include, for example, total return swaps based on a single security or loan, or a narrow-based security index. The commenter also recommends that the Commission determine whether block treatment would be appropriate for equity-based SBSs in the pre-trade transparency context. The commenter argues that similar to other categories or types of large-sized SBSs that would qualify for block treatment, flexible execution with respect to large-sized, equity-based SBSs is important to avoid information leakage regarding a market participant's investment strategies.

One commenter suggests that, if there is the ability to have fungible, single-name total return swaps in equity products, and they become subject to mandatory clearing in the future, that the commenter would expect there to be appropriately calibrated block size thresholds that are applied to those equity-based swaps.[228] Another commenter suggests that if an equity SBS product becomes subject to mandatory trade execution, there should be an appropriate methodology for establishing equity block thresholds.[229]

While the Commission acknowledges commenters' concerns, the general concerns expressed about the need for equity blocks lack specificity or analysis regarding a particular definition of "block trade" for equity SBS—whether a specific threshold or a methodology—that

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227 *See* ICI Letter, *supra* note 18, at 12–13.

228 *See* SIFMA AMG Letter, *supra* note 18, at 10.

229 *See* ISDA-SIFMA Letter, *supra* note 18, at 9.